

FINANCIAL PLANNING **PART 2**

“ Investors don't invest in ideas.
They invest in **businesses that can grow.** ”

LEARNING OBJECTIVES



Financial
Risk



Unit
Economics



Business
Valuation



Funding
Options



Investor
Metrics



Financial
Dashboard



Milestone
Planning



DELIVERABLE

Financial Strategy for the Business Plan



THINK
STRATEGICALLY



PLAN
WISELY



MANAGE
RISK



CREATE
VALUE

**MAKE BETTER FINANCIAL DECISIONS.
BUILD A SUSTAINABLE BUSINESS.**



UNIT ECONOMICS

Every sale should **make money**.



KEY FORMULA

$$\text{Revenue Per Customer} - \text{Variable Cost} = \text{Contribution Margin}$$

ALSO CALCULATE



Customer Acquisition Cost (CAC)



Lifetime Value (LTV)



Gross Margin



Contribution Per Unit



Contribution Margin %

EXAMPLE

$$\begin{array}{ccc}
 \text{Selling Price} & - & \text{Variable Cost} \\
 \text{₹ 1,000} & & \text{₹ 600} \\
 \hline
 & = & \text{Contribution} \\
 & & \text{₹ 400}
 \end{array}$$

Every sale gives you ₹ 400 towards covering fixed costs and profit.



WHY IT MATTERS



Understand the **true profitability** of each sale.



Make **better pricing** and cost decisions.



Improve margins and **business sustainability**.

HEALTHY UNIT ECONOMICS CHECKLIST

- ✓ Contribution per unit is positive
- ✓ CAC is lower than LTV
- ✓ Gross margin is healthy
- ✓ Scalable and repeatable model



ACTIVITY

Calculate unit economics for your business.

SELLING PRICE
(Per Unit)

₹ _____

VARIABLE COST
(Per Unit)

₹ _____

CONTRIBUTION
(Per Unit)

₹ _____

CAC

₹ _____

LTV

₹ _____

GROSS MARGIN

% _____

“ Know your **numbers**. Control your **costs**. Grow your **profits**. ”



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FINANCIAL RISKS

Every business has risks.
Smart businesses prepare for them in advance.



COMMON FINANCIAL RISKS



Low Sales

Sales may be less than expected.



Rising Costs

Costs of materials or operations may increase.



Delayed Payments

Customers may take longer to pay.



Competition

New competitors may reduce your market share.



Regulatory Changes

New laws or policies may impact your business.



Technology Changes

New technologies may make your product outdated.



Economic Slowdown

Economic conditions may reduce customer spending.

HOW TO REDUCE EACH RISK?

- ✓ Identify the risk early.
- ✓ Understand the impact on your business.
- ✓ Create a plan to reduce or avoid the risk.
- ✓ Monitor the risk regularly.
- ✓ Be prepared with a backup plan.



RISK REGISTER (DELIVERABLE)

List all major risks, their impact and your mitigation plan.



IDENTIFY
RISK



ASSESS
IMPACT



PLAN
MITIGATION



MONITOR
REGULARLY



REMEMBER

You cannot eliminate risks, but you can **manage them smartly**.



Anticipate
the Unknown



Prepare
Proactively



Protect
Your Growth



ACTIVITY

Identify top 5 risks for your business and write **mitigation strategies** for each.

“ Good risk management today, builds a stronger business tomorrow. ”



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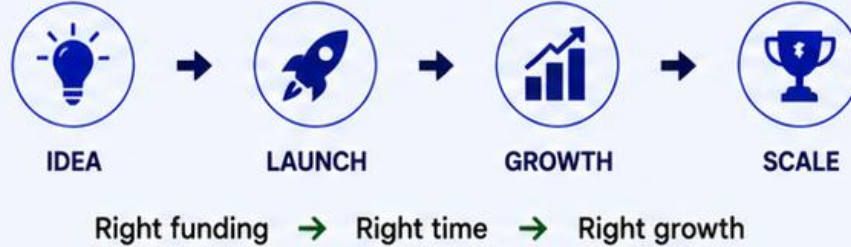
SOURCES OF FINANCE

Different businesses need different types of funding at different stages.

Choose the right source at the right time.



FUNDING IS THE FUEL THAT POWERS YOUR BUSINESS JOURNEY



CONSIDER BEFORE CHOOSING A FUNDING SOURCE



MAJOR SOURCES OF FINANCE

- Founder Investment**
Your own savings and commitment.
- Friends & Family**
Early support from those who believe in you.
- Bank Loan**
Debt funding with repayment obligation.
- Government Schemes**
Subsidies, grants and low-interest loans.
- Angel Investors**
Investors who fund early-stage businesses.
- Venture Capital**
Equity funding for high-growth potential.
- Crowdfunding**
Raise small amounts from a large number of people.
- CSR Grants**
Corporate Social Responsibility funding.
- Revenue from Customers**
Self-funding through sales and cash flow.



ACTIVITY

Which funding source suits your startup?



1. ANALYZE

List the funding sources that are suitable for your business.



2. COMPARE

Compare them on cost, control, risk and ease of access.



3. CHOOSE

Select the best options that align with your business goals.



KEY TAKEAWAY

Smart funding decisions today, create **sustainable growth** tomorrow.



Right Source
Right Time



Lower Cost
Higher Control



Lower Risk
Stronger Business



Better Capital
Better Growth



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BUSINESS VALUATION

What is your business worth?

Valuation helps you understand the value of your business and attract the right investors.



COMMON METHODS OF VALUATION (BASICS)



1. ASSET VALUE APPROACH

Value of all assets minus liabilities.
Best for asset-heavy businesses.



2. REVENUE MULTIPLE APPROACH

Revenue $\times$ Industry Multiple.
Used for early-stage or high-growth companies.



3. PROFIT MULTIPLE APPROACH

Net Profit $\times$ Industry Multiple.
Used for profitable and stable businesses.



4. DISCOUNTED CASH FLOW (CONCEPT)

Present value of future cash flows.
Used for long-term and scalable businesses.



5. MARKET COMPARISON APPROACH

Compare with similar companies in the market.
Used to benchmark your business.

EXAMPLE – REVENUE MULTIPLE APPROACH

Company Annual Revenue : ₹ 20,00,000
Industry Revenue Multiple : 3x



Estimated Business Value

= Revenue $\times$ Multiple

= ₹ 20,00,000 $\times$ 3

= ₹ 60,00,000
(₹ 60 Lakhs)

KEY POINTS TO REMEMBER

- ✓ Valuation is not a one-time number. It changes as your business grows.
- ✓ Higher growth and profitability = Higher valuation.
- ✓ Strong team, market and business model increase value.
- ✓ Investors look at future potential, not just current numbers.



ACTIVITY

Estimate the value of your business.



1. Choose a method
Select any one valuation method.



2. Enter your numbers
Use your revenue, profit or asset data.



3. Calculate value
Find the estimated value of your business.



4. Analyze & justify
Explain why you chose this method.



REMEMBER

Valuation is a tool.
Growth is the real value creator!



“ A BUSINESS IS WORTH WHAT IT CAN EARN TOMORROW,
NOT JUST WHAT IT OWNS TODAY. ”



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WHAT INVESTORS LOOK FOR

Investors evaluate more than just numbers. They invest in confidence, vision and execution.



ACTIVITY

Evaluate your startup honestly. Identify the top 3 areas to improve before approaching investors.



REMEMBER

Investors invest in **people** and **potential** first. Numbers prove the opportunity is real.

INVESTORS EVALUATE 8 KEY AREAS



1. FOUNDER

Passion, integrity, resilience and ability to execute.



2. TEAM

Complementary skills and commitment to the mission.



3. MARKET SIZE

Large enough to build a scalable and profitable business.



4. PROBLEM

Real problem worth solving for the target customers.



5. BUSINESS MODEL

Clear value proposition and a model that makes money.



6. FINANCIALS

Healthy unit economics, strong projections and returns.



7. GROWTH POTENTIAL

Ability to scale fast and capture a large market share.



8. EXIT OPPORTUNITY

Clear possibilities for liquidity (IPO, acquisition, etc.).

WOULD YOU INVEST IN YOUR OWN BUSINESS?



- ✓ Do you believe in your vision?
- ✓ Is the problem big and real?
- ✓ Can your model create profits?
- ✓ Is your team capable of scaling?
- ✓ Can you deliver strong returns?

BE HONEST. INVESTORS WILL BE.

SELF EVALUATION ACTIVITY

Rate your startup on each key area (1 = Weak, 10 = Strong)



FOUNDER

___/10



TEAM

___/10



MARKET SIZE

___/10



PROBLEM

___/10



BUSINESS MODEL

___/10



FINANCIALS

___/10



GROWTH POTENTIAL

___/10



EXIT OPPORTUNITY

___/10

TOTAL SCORE

___ / 80



0 – 39 : Need Strong Work



40 – 59 : Good Progress



60 – 80 : Investor Ready

“ INVESTORS DON'T BET ON IDEAS. THEY BET ON **FOUNDERS** WHO CAN BUILD GREAT BUSINESSES.”



Think like an investor.
Build like an entrepreneur.



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FINANCIAL DASHBOARD

Measure what matters.
Track your key numbers regularly to stay on top of your business.



TRACK THESE KEY METRICS EVERY MONTH



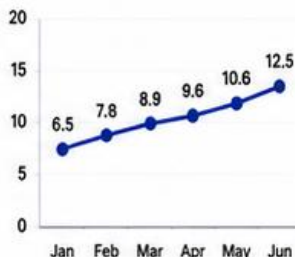
WHY A DASHBOARD IS IMPORTANT

- ✓ Helps you monitor business health.
- ✓ Shows trends and patterns.
- ✓ Enables quick and smart decisions.
- ✓ Helps you achieve your goals faster.
- ✓ Keeps your team aligned and accountable.



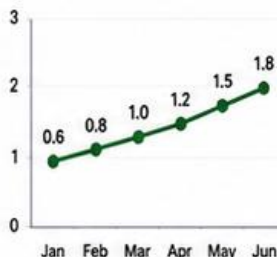
REVENUE TREND

(Last 6 Months)
(₹ in Lakhs)



PROFIT TREND

(Last 6 Months)
(₹ in Lakhs)



CASH FLOW

(Last 6 Months)
(₹ in Lakhs)



EXPENSE BREAKUP

(This Month)



DESIGN YOUR DASHBOARD

-  **Choose Your Metrics**
What is important for your business?
-  **Set a Frequency**
Weekly, Monthly or Quarterly?
-  **Track & Review**
Analyze numbers and take action.



ACTIVITY

Design a financial dashboard for your startup.



1. SELECT METRICS

Choose 8–10 key metrics.



2. SET TARGETS

Define monthly / quarterly targets.



3. TRACK & MEASURE

Collect data and update regularly.



4. ANALYZE & IMPROVE

Take action based on insights.



REMEMBER

If you can't measure it, you can't improve it.

“ A GOOD DASHBOARD DOESN'T JUST SHOW NUMBERS. IT TELLS THE **STORY** OF YOUR **BUSINESS**. ”



Measure. Analyze. Improve. Grow.



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FINANCIAL MILESTONES

Big goals are achieved one milestone at a time.

Plan your journey. Track your progress. Celebrate each win.



EXAMPLE: 24-MONTH FINANCIAL MILESTONE ROADMAP



CLEAR GOAL
(What)

+



MEASURABLE
(How much)

+



TIME BOUND
(By when)

=



ACHIEVEMENT
(Celebrate)

WHY FINANCIAL MILESTONES MATTER

- ✓ Keep your team focused on what matters.
- ✓ Help in tracking progress and staying on track.
- ✓ Build confidence with investors and lenders.
- ✓ Make decision making easier and faster.
- ✓ Celebrate small wins, stay motivated.



TIPS TO ACHIEVE MILESTONES



Break big goals into smaller milestones.



Assign clear ownership for each milestone.



Review progress regularly.



Adapt and adjust when needed.



Celebrate and learn from each milestone.



ACTIVITY

Create your 24-month financial milestone plan.



1. DEFINE VISION

Write your 2-year financial vision.



2. SET MILESTONES

List key milestones month by month.



3. QUANTIFY

Assign numbers to each milestone.



4. TRACK & REVIEW

Monitor progress and take action.



REMEMBER

Milestones turn your plan into progress and your dreams into results!

“ A GOAL WITHOUT A PLAN IS JUST A WISH.
A MILESTONE TURNS A PLAN INTO REALITY. ”



Plan it. Track it. Achieve it.
One milestone at a time.



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INVESTOR READINESS CHECKLIST

Are you ready to approach investors or lenders?

Use this checklist to evaluate your startup's preparation and identify areas to strengthen.



ARE YOU INVESTOR READY?				
No.	Key Area	Description	Yes / No	Score (0 – 10)
1	 Founder & Team	Strong founder with a capable and committed team.		___ / 10
2	 Market Opportunity	Large market with clear growth potential.		___ / 10
3	 Problem & Solution	Real problem worth solving with a unique solution.		___ / 10
4	 Business Model	Clear and sustainable model that makes money.		___ / 10
5	 Financial Projections	Realistic projections with strong unit economics.		___ / 10
6	 Risk Analysis	Key risks identified with mitigation plans.		___ / 10
7	 Go-to-Market Strategy	Clear plan to acquire customers and grow.		___ / 10
8	 Exit Opportunity	Clear path for future exit (IPO, acquisition, etc.).		___ / 10

CALCULATE YOUR READINESS SCORE



Total Score
(Out of 80)

___ / 80



65 – 80

: **INVESTOR READY**

You are well prepared to approach investors!



45 – 64

: **ALMOST THERE**

Strengthen a few areas and get ready.



25 – 44

: **NEED IMPROVEMENT**

Work on key gaps before approaching.



0 – 24

: **NOT READY YET**

Focus on building a strong foundation.

TIPS TO IMPROVE YOUR READINESS



Continuously build and strengthen your team.



Validate your market and gather real data.



Track your numbers and improve unit economics.



Identify risks early and have mitigation plans.



Test your GTM strategy and iterate.



Stay investor-focused in your decisions.



ACTIVITY

Evaluate your startup's investor readiness.



1. REVIEW

Go through each key area.



2. SCORE

Give yourself a score (0 – 10) for each.



3. CALCULATE

Add up your scores to get your total.



4. ANALYZE

Understand your strengths and gaps.



5. IMPROVE

Work on weak areas and get investor ready.



REMEMBER

Being prepared today attracts opportunities tomorrow.

“ INVESTORS DON'T INVEST IN PERFECT BUSINESSES. THEY INVEST IN **PREPARED FOUNDERS WITH BIG POTENTIAL.** ”



Prepare. Present. Persuade.
That's how you raise.



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FROM PLAN TO PROFIT & IMPACT

Financial planning turns your vision into value.

Plan well. Execute with focus.

Create impact that lasts.



KEY TAKEAWAYS



Understand your business value.



Use the right valuation methods.



Track key metrics and milestones.



Set goals, measure progress.



Prepare with confidence for investors.



Execute, adapt and create lasting impact.

FINAL CHECK BEFORE YOU PITCH

- ✓ Clear value proposition
- ✓ Strong financial projections
- ✓ Realistic milestones & roadmap
- ✓ Know your numbers
- ✓ Confident, passionate team
- ✓ Compelling story with purpose



Be prepared. Be confident.
Be Investor Ready!

FINANCIAL PLANNING TOOL KIT



Financial Model Template (Excel)
Build your projections with ease.



Valuation Calculator
Estimate your business value.



Dashboard Template
Track metrics that matter.



Investor Pitch Deck Template
Communicate your story with impact.

NEXT STEPS

- 01 Apply concepts to your own business.
- 02 Build your financial model & dashboard.
- 03 Set your milestones & track progress.
- 04 Prepare your pitch and seek feedback.
- 05 Stay focused. Keep improving. Keep growing.



FOCUS
PLAN
EXECUTE
GROW

THE FUTURE IS YOURS!

“ FINANCIAL PLANNING IS NOT JUST ABOUT NUMBERS, IT'S ABOUT BUILDING A **BETTER FUTURE.** ”



Plan Smart.
Execute Better.
Create Lasting Impact.



Let's build financially strong, impactful and future-ready businesses.
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